

Fearnleys Dry Bulk Weekly

Feb 12, 2025

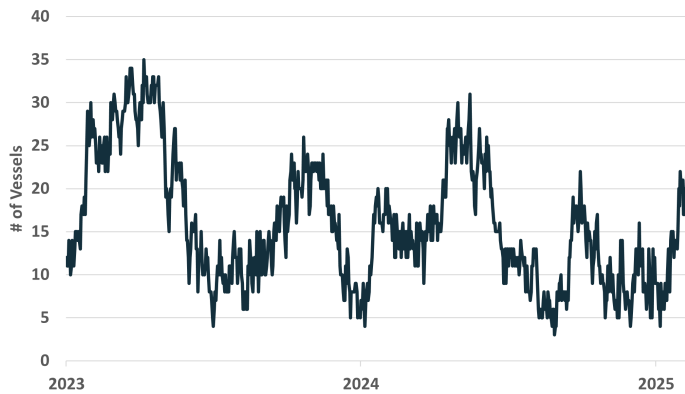
Bernhard Baardson

Capesize/Newcastlemax

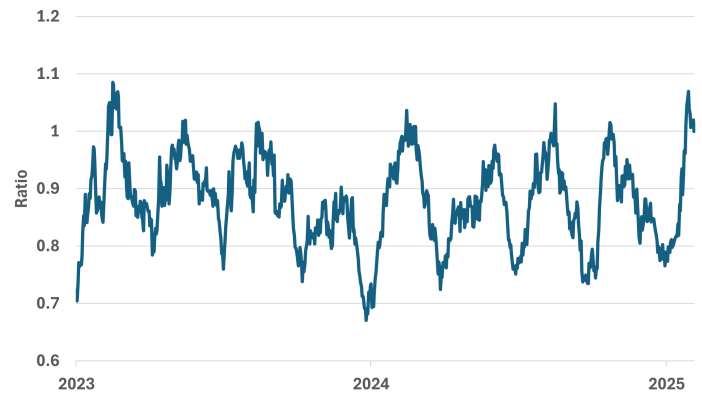
China's imported iron ore consumption rebounded after the holidays, which indicates that a rally will start before the end of this month. The previous comparable periods when China's imported iron ore consumption turned up like now were late February last year, mid-May last year, and late October last year. The market rose over the next weeks each time.

Levels are likely to remain lower than last year however, as fundamentals are weaker and as the delay in the Brazilian Soybean harvest will weigh on the Kamsarmax market.

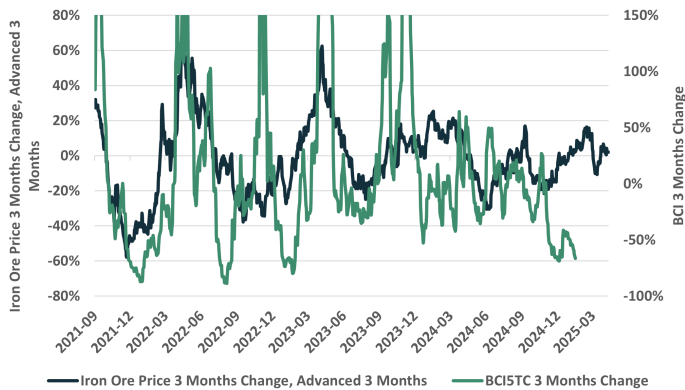
VLOCs Waiting to Load in Brazil



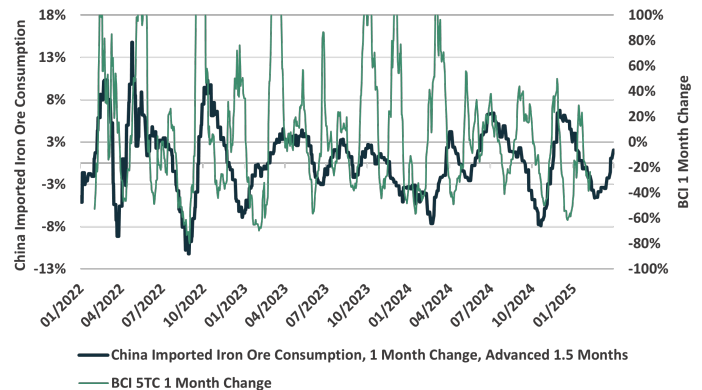
Cape/Newc Ballaster/Laden Vessel Ratio



Iron Ore Price Change (3 Months Lead) vs BCI5TC



China Imported Iron Ore Consumption Lead vs BCI5TC 1 Month Change

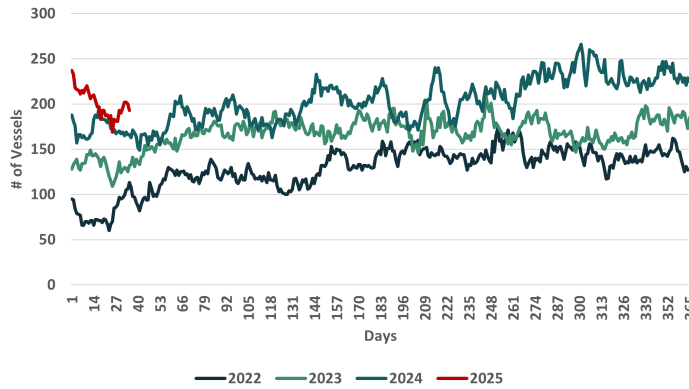


Panamax/Kamsarmax

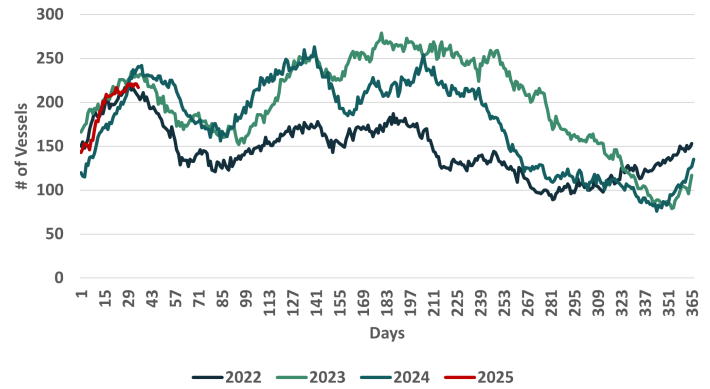
The Soybean harvest in Brazil remains much slower than last year, which along with the weak fundamentals in Pacific coal markets and weak industrial demand in Europe means the sluggish market conditions are likely to persist in the near term.

Vessels ballasting to Brazil are lower than the same period in both 2023 and 2024. Vessels laden with coal heading to China or India are at record highs seasonally, but the count has trended down since last summer.

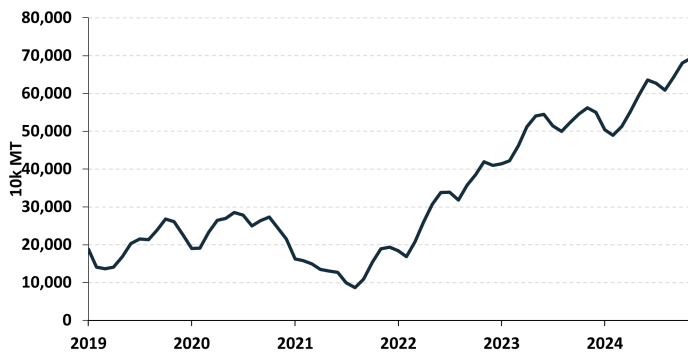
Panamax / Kamsarmax Laden With Coal to China or India, by Year



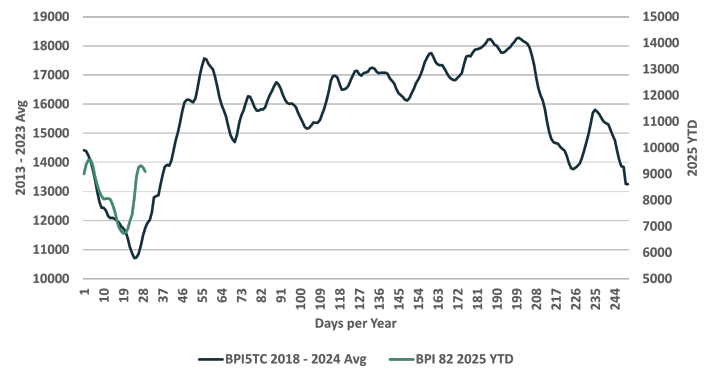
Panamax / Kamsarmax Ballasting To Brazil, by Year



China Total Coal Inventories



Kamsarmax Market Seasonality

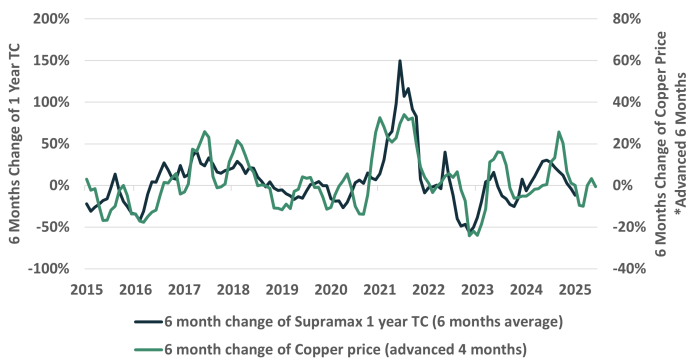


Supramax/Ultramax

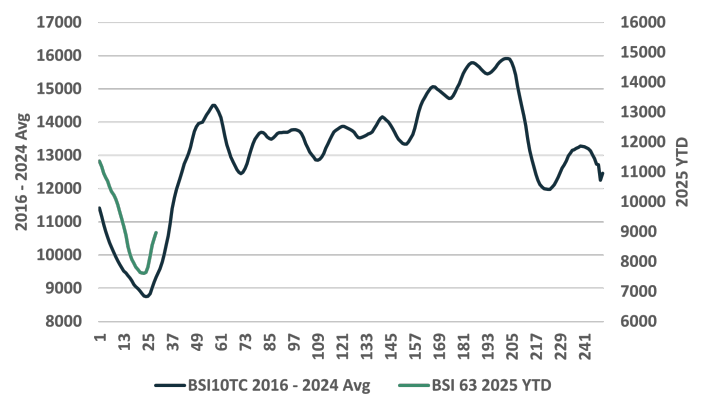
Last week, we wrote: *On average, the market is at the seasonal low point now, and should improve in the coming weeks. JP Morgan's global manufacturing PMI edged into expansion in January, and industrial metals prices are showing some resilience. However, overall fundamentals does not look strong, so we still expect spot market levels to remain below that of last year.*

The market has moved up since last week, but further upward momentum is lacking due to the weakness in coal markets and the Brazilian Soybean harvest delays.

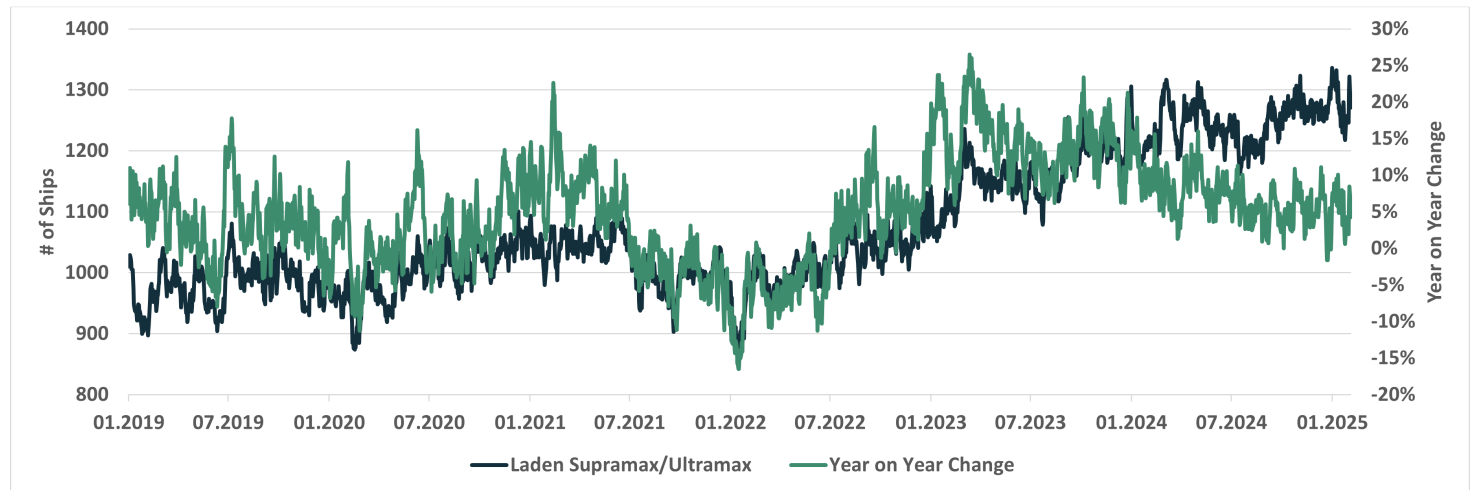
Copper Price Lead vs Supramax 1 Year TC 6 Months Change



Supramax / Ultramax Seasonal Average



Laden Supramax/Ultramax Vessels, and Year on Year Change





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